

Strategic Review

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First Mills' strategic progress focused on targeted expansion, portfolio diversification and investments that support long term returns.

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Chairman's Statement

2025 marked a defining chapter in First Mills' journey. It was a year in which strong execution translated strategy into tangible progress across operations, portfolio diversification and market reach.

Tariq Mutlaq Al-Mutlaq
Chairman of the Board



Our Growth. Our Commitment.

As a publicly listed company, we moved forward with clarity and confidence, strengthening our role as a trusted food producer while remaining deeply committed to the Kingdom's long-term priorities. Our progress during the year reflects a balanced approach to growth, combining operational discipline, targeted investment and a clear focus on creating sustainable value for all Stakeholders. Notably, this progress was underpinned by solid financial fundamentals and a prudent capital structure, enabling continued strategic investments without compromising resilience.

A year of strategic progress

In 2025, we reinforced the Company's long-term platform for sustainable value creation. Our priorities were clear; strengthen resilience, maintain disciplined capital allocation and ensure robust governance and risk oversight as we advanced the Company's strategic direction.

awareness and youth development, reinforcing our role as a responsible contributor to social well-being. In doing so, we maintained our alignment with the broader Vision 2030 framework, which emphasizes not only economic growth but also social responsibility and sustainable development.

We continued to build a more future-ready business by investing in the capabilities that protect quality, safeguard continuity of supply and strengthen efficiency over the long term, while progressing our diversification agenda to broaden earnings resilience across the food value chain. Together, these efforts support the development of a more integrated operating model and positions First Mills to pursue sustainable returns and value creation over the years ahead.

Strategic focus and market expansion

During the year, we advanced our long-term strategic roadmap to reflect changing market dynamics and emerging opportunities. Product diversification gained further momentum, particularly across specialized flours, bakery mixes and health-focused products, including gluten-free offerings. These higher-value categories broaden our relevance across consumer and commercial segments.

Advancing Vision 2030 and national food security

Our growth in 2025 was closely aligned with Saudi Arabia's Vision 2030 and national food security objectives. By expanding production capacity across flour and feed, we contributed to a stable and high-quality domestic supply of essential food products. We accelerated innovation in value-added and fortified categories, increasing the contribution of non-subsidized products while responding to evolving consumer needs. These efforts support the Kingdom's goals of a secure, self-reliant food system and demonstrate our role in furthering those national priorities.

Geographically, we deepened our presence across high-growth regions within Saudi Arabia and began selectively expanding into regional export markets following regulatory approval. This approach allows us to optimize capacity utilization, reduce seasonality and build a more balanced revenue profile. These strategic shifts were driven by evolving consumer preferences, adjacent market opportunities and our commitment to sustainable, long-term growth.

Resilience across our supply chain remained a priority. Investments in advanced planning systems, local sourcing initiatives and coordinated operations strengthened our ability to manage volatility and ensure continuity of supply. Beyond operations, we expanded our community engagement initiatives focused on nutrition

Investing for scale, integration and resilience

Capital investment and selective acquisitions were central to our progress in 2025. In the feed sector, we completed the acquisition of 100% of Al-Manar Feed Company, adding meaningful daily production capacity and strengthening our reach in the Western region. We also completed the acquisition of a 60% majority stake in Al-Kenan Al-Arabia Trading Company, enhancing distribution capabilities and supporting vertical integration across the feed value chain.

Chairman’s Statement continued

In flour milling, we advanced the construction of Mill C at our Al-Qassim site, a ~~٢٥~~ 123 million investment that will significantly expand capacity upon completion in 2026. Mill C will add 600 tons of daily milling capacity. To support these initiatives, we secured a ~~٢٥~~ 150 million financing facility, reflecting strong institutional confidence in our strategy. Together, these investments position First Mills to scale efficiently while maintaining operational resilience.

Enhancing governance, risk and accountability

As First Mills continues to grow, governance and risk management remain foundational to our approach. In 2025, we strengthened Board oversight across strategy, risk and sustainability, reinforcing accountability at the highest level. The Board and its committees played an active role in guiding the Company’s strategic initiatives and ensuring robust risk mitigation measures. We implemented advanced enterprise risk management tools to enhance visibility and control over supply chain, market and operational risks.

Our Internal audit and compliance programs were further strengthened, alongside expanded employee training on ethics, governance and responsible business conduct. These efforts support transparency, consistency and trust, ensuring that growth is underpinned by strong institutional discipline and sound decision-making.

Ensuring responsible growth and sustainability

Sustainability continued to be fully integrated into how we operate and invest. During the year, we advanced energy efficiency initiatives across our mills and made measurable progress in reducing emissions intensity, reinforcing our commitment to responsible and efficient operations. On the social side, we strengthened workplace safety programs and invested in employee capability development through targeted training and skills enhancement. We also published enhanced sustainability metrics aligned with

international standards, improving transparency and enabling clearer measurement of progress. These actions reflect our belief that responsible growth is essential to long-term value creation.

Looking ahead with confidence

We enter 2026 with confidence in our direction and readiness to build on the momentum we achieved in 2025. Our strategic priorities for the coming year include expanding our presence in high-growth product categories, increasing automation and digitalization across operations and advancing sustainability targets, particularly in energy and resource efficiency. We will continue to deepen partnerships across the food ecosystem, including retailers, bakeries and foodservice providers, while selectively evaluating new expansion opportunities within Saudi Arabia and the region.

With a strengthened asset base, diversified portfolio and disciplined operating model, First Mills is well positioned to navigate market complexity and capture future growth opportunities. We remain vigilant against risks but optimistic about the prospects ahead in a growing, evolving food sector. By maintaining our commitment to excellence, innovation and sustainability, we are confident that 2026 will see First Mills continue on its trajectory of profitable growth and value creation for all Stakeholders.

Acknowledgements

On behalf of the Board, I would like to thank our executive management team for their leadership and our employees across all locations for their dedication and professionalism. We also extend our appreciation to our government partners and regulators for their continued support and to our customers, investors and Shareholders for their trust and confidence. Together, we continue to build a stronger First Mills, delivering growth with commitment and purpose.

Tariq Mutlaq Al-Mutlaq
Chairman of the Board

CEO's Message

2025 was a year defined by execution. Across First Mills, our focus was to deliver on our strategy, strengthen operational performance and scale the business responsibly in line with long-term priorities.

Eng. Abdullah Abdulaziz Ababtain
Chief Executive Officer



Executing with clarity. Scaling with commitment.

I am proud of how the organization translated ambition into measurable progress, while remaining grounded in discipline, quality and accountability. The year reinforced my confidence in our people, our operating model and our ability to create enduring value in a dynamic market environment.

A year of momentum and decisive progress

The defining story of 2025 was momentum built through focus and follow-through. The business delivered sustained growth across all quarters, supported by strong demand, improved capacity utilization and disciplined execution across flour, feed and value-added categories. Our five-year strategy continued to advance ahead of plan, driven by targeted investments, portfolio diversification and expanding customer reach.

A major contributor to this progress was the strengthening of our feed segment. For much of the year, demand for feed products exceeded available capacity - underscoring both the depth of the market and the importance of timely expansion. The acquisition of Al Manar Feed Company materially enhanced our production footprint and enabled faster response to customer demand, while the stake in Al-Kenan Al-Arabia Trading Company strengthened downstream distribution in the feed segment and expanded market access. These actions reflected a deliberate approach to growth, combining strategic expansion with selective inorganic opportunities that reinforce strategic positioning.

Financial performance and value creation

Financial performance in 2025 reflected the underlying strength of the business and the benefits of disciplined execution. Revenues increased by 9.3% to ₪ 1,146.4 million, supported by volume growth, portfolio mix improvement and steady demand across core categories. EBITDA reached 402.2, reflecting improved operating leverage and continued focus on efficiency, while attributable to Shareholders of the Issuer rose to 277.4 million, demonstrating the scalability of the operating model. Earnings per share reached ₪ 4.99, supported by resilient margins and consistent performance throughout the year.

The balance sheet remained strong, enabling continued investment while preserving financial flexibility. Capital expenditure totaled (85.1), directed primarily toward capacity expansion, modernization of facilities and technology upgrades. Liquidity remained solid, supported by prudent working capital management and access to long-term financing. These results provide a stable foundation for continued growth while maintaining the financial discipline expected of a listed company.

Building strength across our brands

Operationally, 2025 marked a step change in performance across all three brands, each playing a distinct role in the Group's growth.

The **First Mills** brand continued to anchor the portfolio, delivering strong volume growth supported by consistent high quality. Operational performance across mills remained robust, with efficiency sustained above targeted thresholds and improved extraction rates supporting both cost control and product consistency. Expanded distribution and deeper partnerships with key customers strengthened the brand's presence across B2B, Traditional Trade, Modern Trade, breeders and Feed Distribution portfolios.

Aloula advanced its position as a value-led growth engine. The brand focused on premium segments and higher-margin categories, refining its channel strategy and strengthening execution in modern trade and feed distribution. Innovation remained central, with progress in ready-mix solutions and several customer portfolios that expand usage occasions and reinforce brand relevance. Aloula's performance demonstrates the importance of differentiation and disciplined portfolio management in driving sustainable value creation.

CEO's Message continued

Naffa'a delivered one of the strongest growth profiles within the Group. Demand for specialized feed products continued to rise, supported by expanded product ranges and manufacturing upgrades. Production lines operated at near-full utilization, reflecting strong market acceptance and effective execution. Investments in quality control, R&D and digital customer tools strengthened Naffa'a's positioning as a solutions-oriented partner for breeders and feed distributors.

Technology and innovation as enablers

Technology and innovation remained critical enablers of performance in 2025. Across operations, digital tools enhanced visibility and efficiency. Advanced analytics supported production planning, quality monitoring and resource optimization, while predictive maintenance capabilities reduced downtime risk and improved asset utilization.

Innovation extended beyond internal processes. The continued use of heat treatment technology for pest control, unique within the Kingdom, supported food safety objectives while reducing reliance on chemical treatments. Progress was also made in renewable energy planning, with a solar power project developed in partnership with TotalEnergies to support future energy efficiency and emissions reduction targets. R&D initiatives across flour, bakery solutions and feed formulations reinforced our ability to respond to evolving customer needs with tailored, high-performance products.

People and culture at the core

Our performance in 2025 was driven first and foremost by our people. Across all functions and locations, teams demonstrated resilience, adaptability and a strong performance mindset. Productivity gains achieved during the year reflected not only process improvements and technology adoption, but also a culture that values accountability, collaboration and continuous improvement.

We continued to invest in talent development, as training programs, leadership engagement and clear performance frameworks supported capability building and succession planning. The organization

continued to attract and retain diverse talent, aligned with national objectives for workforce participation and development. Recognition as a strong employer reflects the environment our teams have built, one that supports safety, inclusion and professional growth.

Looking ahead to the next phase of growth

As we look into 2026, our focus remains on execution and disciplined growth. Key priorities include commissioning new capacity, particularly at the Al-Qassim site, expanding into high-growth product categories and advancing automation and digitalization across operations. Sustainability initiatives will continue to progress, with emphasis on energy efficiency, resource management and responsible production.

We will also continue to evaluate selective investment opportunities that strengthen the portfolio and enhance market access, both within Saudi Arabia and in regional markets. With a diversified platform, strong financial position and proven execution capability, First Mills is well positioned to navigate complexity and capture emerging opportunities.

Acknowledgements

I would like to thank our employees across all locations for their dedication and commitment, our leadership team for their focus and accountability and our Board for its guidance and support. A special thanks to our customers, partners, regulator and suppliers for their continued trust and to our Shareholders for their confidence in our direction.

First Mills enters the next phase of its journey with clarity of purpose, strength in execution and confidence in its ability to deliver sustained value in the years ahead.

Eng. Abdullah Abdulaziz Ababtain

Chief Executive Officer



Business Model

Powering value through strength, scale and trust

First Mills' business is built on the strength of its nationwide footprint, diversified product portfolio and deep operational capabilities, creating consistent value for Shareholders, customers, partners and other key Stakeholders. With leading market presence, advanced production assets and a resilient supply chain anchored by strong relationships with raw-material suppliers, the Company converts its resources into high-quality products that support national food security and deliver sustainable returns. A disciplined governance framework, an experienced leadership team and a commitment to innovation reinforce this model, enabling First Mills to meet rising demand, adapt to market shifts and expand into new opportunities with confidence.

Inputs

- Leading local market position
- Solid base of logistics and production facilities
- Risk management capabilities

Strengths and Competitive Advantages of the Company

- Product diversification and geographical spread
- Commitment to provide quality products
- Experienced and highly efficient team

Added Value To All Relevant Authorities and Stakeholders

- A diverse product portfolio with more than 90 main products of food and feed products.
- Five plants located in strategic locations, including two facilities in Jeddah in the Makkah Province, one of which is the newly acquired Al Manar feed plant with a daily capacity of 450 tons per day, as well as Al Qassim in Buraidah, Tabuk in Tabuk City and the Eastern Province Al-Ahsa.
- Sale and distribution warehouses belong to the Company or its distributors spread all over the Kingdom.
- Close and strong relationships with all raw material suppliers, including the General Food Security Authority (GFSA).
- Completed the acquisition of 60% of Al-Kenan Al-Arabia Trading Company.
- Professional constant monitoring and rigorous testing of raw materials and final products.
- High responsiveness and flexibility to address local market changes and global market trend aiming to meet the evolving customer needs.
- High capacity for expansion and penetration into new geographical areas by offering high-demanded products with superior quality.
- Obtaining a number of accreditations and certificates recognizing the quality of the Company's products and enhancing its position as a reliable and important partner for many major clients.
- Independent Board members with the highest level of experience, working for a number of prominent local and international companies in the same field and sector.
- A highly skilled executive team with wide experience in the milling and food sector of more than 200 years of related accumulated experience.
- The Company is supported by a comprehensive governance structure and strong internal control procedures and policies.
- Motivating work environment that managed to gain the highest levels of loyalty and satisfaction backed by premium job incentives and initiatives.

Outputs

- Reaching more than 30%* in the local flour market as a market share.
- Achieving attractive profit margins and sustainable growth that exceeds the average market rates and targets.
- Maintaining current leadership in the feed sector and expanding the bran production in alignment with the growth in flour volumes.
- Cash sales, which are immediately collected, account for 65% of the Company's product sales.
- Owning the first-of-its-kind durum mill for producing semolina with a production capacity capable of meeting local market demand with the possibility of exporting to regional markets.
- Fixed asset base with a book value of more than ₪ 820 million, backed by the latest modern technologies for flour and feed production.
- Ongoing follow-up on increasing the production capacity and constantly expanding and renovating plants to achieve the best possible returns and to meet the increasing market demands.
- Leveraging cutting-edge systems and technologies across all production processes to guarantee the highest quality.
- Building strategic, high-value partnerships with both the public and private sectors.
- A specialized team handles all potential risks at all levels.
- Raw materials supply agreements with the Company's suppliers, which contribute to mitigating and managing any risks associated with the fluctuations in the international market prices.
- Comprehensive review and assessment to mitigate risks and align with regulatory development in Saudi Arabia.
- A specialized team to manage the supply of raw materials and other purchases to ensure optimal business sustainability.



Shareholders and Investors

The Company is committed to protecting its Shareholders' rights, guaranteeing fairness and transparency in the provision of information and strengthening relations through diversified distributions. During 2025, First Milling Company distributed dividends totalling ₪ 173,880,000 for H1 and H2 2025. The Company also adheres to financial regulations, according to the instructions governing First Milling Company's Investor Relations (IR) Department operations, which is dedicated to efficiently addressing Shareholders' inquiries.



Customers

The Company adopts a client-centric principle to make certain customers' needs are met with the utmost quality. The process of quality verification and the provision of superior products are continuously assessed by the General Food Security Authority (GFSA), based on a comprehensive assessment of their production capacity.



Employees

The Company actively develops its human resources and management approach. It was recognized as Second Place – Best Induction Program, Silver Category from Employee Happiness Awards 2025 KSA; and First Place – Best Recruitment Strategy, Silver Category from Employee Happiness Awards 2025 KSA and is listed among the Employees Stock Incentive Plan as a program to attract and retain top talents.



Communities

The Company's programs with non-governmental organizations aim to support social responsibility, enhancing "sound and healthy life", especially towards youth programs and the fight against hunger and job fears. Additionally, First Milling Company plays an important role in food security, affirming its status as an inclusive workplace that meets employment and social needs.



Regulatory and Government Authorities

The Company works in full compliance with the disclosure and cooperative standards with regulatory authorities such as the Capital Market Authority (CMA), Zakat, Tax and Customs Authority (ZTCA) and the Food Security Authority along with the national food security strategy and the Saudi Vision 2030. Furthermore, First Milling Company participates in multiple government efforts in collaboration with the Ministry of Human Resources and Social Development (HRSD).



Partners

The Company provides sustainable value to all partners by delivering a high standard of experience and ensuring they receive the best quality products, while enabling the possibility of customization and forming the product mix according to the required specifications.

* According to GFSA

Strategy and KPIs

Strategic progress driving long-term value

First Mills maintains a flexible strategic vision, adapting to the continuous developments in the food and feed sectors in local and global markets. The Company's strategy and objectives are centered on providing high-quality premium products. This focus supports its aspirations in becoming the first partner of choice across the Kingdom and the credible source of vital products for both the market and community.

The Company has set strategic targets to guarantee it maintains its leading role in the market and contributes to the provision of sustainable sources of food. This is done through four main pillars.



Strategy and KPIs continued



Pillar 1 Enhancing Market Leadership

Strengthen First Mills' position as a top player in the food products sector by expanding market share, increasing brand recognition and continuously improving competitiveness across all key markets.

Target

To be the first choice for customers and industry leaders in terms of sales volume, revenue and market share in flour products.

Success Metrics and KPIs

1. Maximizing Company value
2. Increasing revenues and profits sustainably
3. Expanding into new products and sectors
4. Improve distribution and sales channels

2025 Achievements

Revenue growth by **9%** to reach

ﷲ 1,146.4 mln

Acquired Al Manar Feed Co. Ltd, adding

450 tons
of daily feed
production

Net profit grew by **10%** to reach

ﷲ 277.4

Implemented the highly secured **IT infrastructure for First Mills and rolling it to all its locations across the Kingdom**

Increased SKUs to

90 products



Pillar 2 Creating Outstanding Products and Providing Exceptional Services

Deliver high-quality, innovative milling and food ingredient products that meet evolving customer needs, while also offering superior customer service and technical support to strengthen long-term partnerships with clients.

Target

To have the most powerful brand, the best-in-class customer service and be well-known for its products innovation.

Success Metrics and KPIs

1. Increasing revenue contribution from the flour new products developed (NPDs)
2. Strengthening brand equity
3. Improving customer service
4. Developing innovation practices

2025 Achievements

First Mills market share goes up to more than

30%

Customer satisfaction NPS reached

93%

Strategy and KPIs continued



Pillar 3

Building an Efficient and Distinguished Operational Framework

Develop highly efficient and reliable operations across the supply chain – covering production, logistics, procurement and quality control – to ensure consistent product excellence, cost optimization and operational resilience.

Target

To produce premium quality products, in the most efficient manner utilizing world-class technology at the ideal competitive cost.

Success Metrics and KPIs

1. Cost optimization across the value chain
2. Developing strategic sourcing
3. Developing integrated business planning (IBP)
4. Increasing production efficiency and capacity and improving product quality

2025 Achievements

The Company's production capacity utilization rates reached

94%

893,520

quality tests conducted, compliant with the highest international standards and ISO



Pillar 4

Building Necessary Capabilities and an Efficient Framework to Achieve the Company's Strategy

Invest in the people, systems, technologies and governance structures required to support First Mills' strategic goals, making sure the Company has the right capabilities, digital tools, talent development plans and internal processes to drive sustainable success.

Target

To be the employer of choice, known for its high safety standards and highly capable team working together within the right culture and systems in place.

Success Metrics and KPIs

1. Improving HSE practices
2. Strengthening organizational structure and governance
3. Enhancing work culture and environment and developing skills and capabilities
4. Improving digitization and automation

2025 Achievements

Introduced new incentive programs and engagement initiatives to motivate employees and strengthen a supportive, high-performance culture.

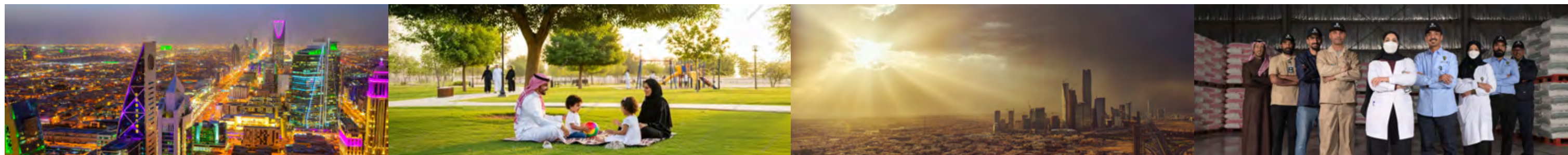
Delivered extensive training and development, with more than

300 employees

trained and over 7200 training hours completed.

Advanced digital transformation by deploying modern systems that enhance efficiency, support collaboration and provide a stronger platform for employees to perform effectively.

Saudi Vision 2030



A vibrant society



First Mills aligns its strategy and operations with the ambitions of Saudi Vision 2030, contributing to a more vibrant society, a thriving diversified economy and an ambitious nation built on strong governance and empowered talent. Through our commitment to food security, innovation, workforce development and community impact, we play an active role in supporting the Kingdom's transformation, creating sustainable value for all Stakeholders.

Empowering Communities and Enriching Everyday Life

First Mills supports the national drive to strengthen social well-being by delivering initiatives that enhance quality of life and empower communities. We advance nutrition awareness and community engagement programs that benefit households, students and local institutions, reinforcing Vision 2030's aspiration for an informed and healthy society.

We continue to improve consumer experience through clearer product information, better usage guidance and responsive digital channels. These efforts enhance daily life for customers while elevating service standards across the food ecosystem.

Women's workforce participation remains an important priority. Female hiring at First Mills increased from 1-2% in 2021-2022 to 3% in 2023 and we aim to continue growing this representation. This aligns with Vision 2030's national objective to expand opportunities for women across the private sector.

A thriving economy



Driving Diversification, Innovation and National Food Resilience

First Mills contributes to the Kingdom's non-oil diversification goals by expanding production capacity, enhancing our portfolio and strengthening the national food and agriculture sector. Our growth supports one of the most strategically important industries for Saudi Arabia's long-term economic resilience.

We continue to invest in research, development and advanced manufacturing capabilities, helping build a knowledge-based, innovation-driven industrial landscape. This includes adopting digital tools and AI to improve efficiency, accelerate product development and strengthen customer-facing services. These advancements reflect Vision 2030's aim to build a modern, digital-first economy powered by data and technology.

Our role in food security is central to the national agenda. By enhancing production, reinforcing distribution networks and strengthening supply chain reliability, we help maintain stable, high-quality food systems that support the Kingdom's growing population.

We also engage directly with local farmers, SMEs and supply chain partners through technical support and knowledge-transfer programs. These initiatives improve productivity, livestock performance and sector-wide capabilities, contributing to Vision 2030's objective of empowering local industries and building national self-sufficiency.

An ambitious nation



Delivering Excellence through Talent, Governance and National Partnerships

First Mills invests in national talent through a structured Saudization program supported by clear targets and strong execution. We have achieved 43.7% Saudization at the head office and aim to reach Platinum level, directly contributing to Vision 2030's goal of expanding private-sector employment opportunities for Saudi nationals.

We strengthen workforce competence through continuous learning, professional certifications and succession planning programs. These initiatives build a skilled, future-ready workforce in line with the national effort to elevate human capital across the Kingdom.

A culture of performance and accountability guides our human resources strategy. Quarterly and annual recognition programs reward excellence and promote merit-based advancement, fostering the high-performance environment envisioned by Vision 2030.

Public-private collaboration is another core area of alignment. First Mills works closely with HRSD programs such as Tamheer and nationalization initiatives to train and recruit Saudi talent, supporting Vision 2030's strategy to deepen cooperation between government and business.

Our governance framework also reflects national priorities. Comprehensive HR and corporate policies on conduct, whistleblowing, conflicts of interest, compensation and compliance ensure we operate with transparency and accountability. This commitment supports Vision 2030's ambition to build institutions that are efficient, ethical and fully aligned with regulatory expectations.

Advancing national priorities with purpose

Technology and Innovation

Driving business value through innovative technologies

Technology and innovation remain essential enablers of First Mills' corporate strategy. The Company was built as a digital-first operation, designed to reach customers more effectively and deliver an integrated, seamless experience across every touchpoint. This vision supports its ecosystem-based approach, making certain that technology strengthens value creation for customers, partners, employees and Stakeholders and enabling scale, efficiency and long-term competitiveness.

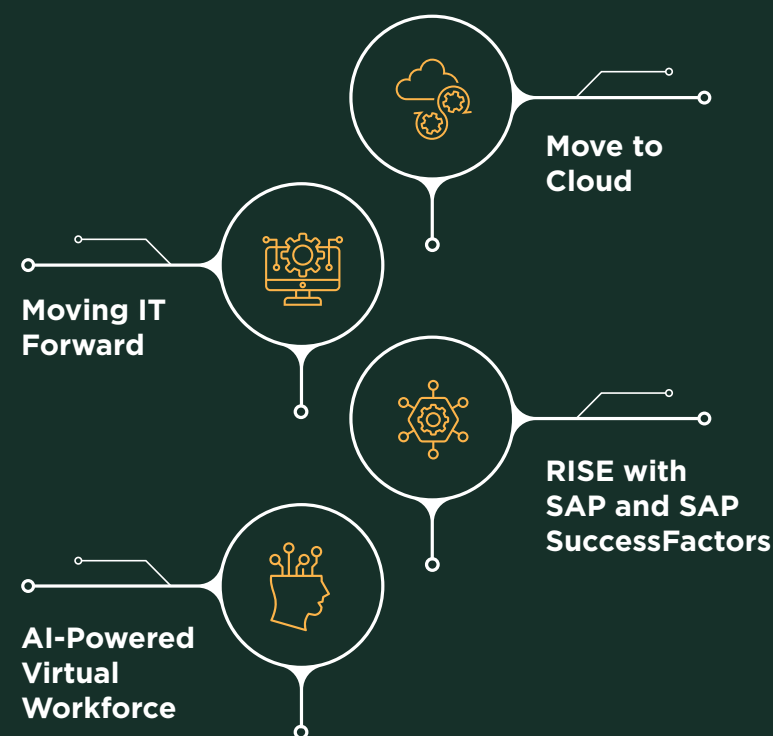
Technology and Innovation Vision

To be the First Mills' business capability engine, powering solutions through connection, transformation and innovation.

Technology and innovation are core enablers of First Mills' corporate strategy. From its inception, the Company has been designed as a digital-first organization, enabling broader market reach and a seamless, integrated customer experience. This approach supports First Mills' ecosystem-based business model and ensures technology consistently drives value creation for customers, partners, employees and Stakeholders.

Technology and Innovation Strategy

First Mills' technology and innovation strategy reflects a commitment to using advanced tools and digital capabilities to modernize operations and support the Company's ambition to build a fully integrated, future-ready ecosystem. The strategy is structured around four transformation pillars.



Together, these pillars drive scalability, elevate customer experience and embed operational excellence across the organization.

Move to Cloud

The Move to Cloud initiative represents the next generation of First Mills' technology infrastructure. It establishes a secure, scalable and flexible foundation that supports current business requirements while preparing the organization for future growth. By consolidating applications and migrating core systems to an in-country private cloud environment, this initiative enhances performance, strengthens cybersecurity, improves cost efficiency and equips IT teams with modern tools to better support evolving business needs.



Moving IT Forward (MITF)

Moving IT Forward defines First Mills' IT operating model and provides a standardized organizational framework for IT governance, policies and processes. This pillar guarantees consistency in how technology services are delivered, managed and optimized across the organization. Its success depends on fostering a unified IT culture that follows shared standards, adheres to best practices and supports continuous improvement in service delivery and operational effectiveness.



RISE with SAP and SAP SuccessFactors

RISE with SAP and SAP SuccessFactors represent one of the most significant transformation programs in First Mills' history. These platforms harmonize processes, automate manual activities, improve data accuracy and accelerate digital deployment across core business functions including finance, human resources, operations and the supply chain. Together, they provide a unified digital backbone that enhances efficiency, enables faster decision-making and differentiates First Mills' operational capabilities in the market.



AI-Powered Virtual Workforce

The AI-Powered Virtual Workforce establishes the foundation for an intelligent, adaptive and increasingly automated enterprise. AI agents enable advanced analytics, predictive insight and the creation of a digital twin of First Mills' operations. This transformation supports a model of working that delivers more outcomes faster, more intelligently and with reduced reliance on manual intervention, while improving accuracy, consistency and responsiveness across the organization.



Technology and Innovation continued

Achieving more, faster and smarter through existing resources.

Driving Progress Throughout the Year

In 2025, First Mills achieved major milestones that strengthened its digital infrastructure and advanced its transformation agenda. The Company completed the rollout of a highly secure and resilient IT environment across all locations, ensuring operational continuity and stronger protection against evolving threats. It deployed RISE with SAP and SAP SuccessFactors, automating manual processes and improving data reliability across finance, HR, operations and supply chain activities.

Advanced analytics dashboards and performance indicators were introduced to enhance visibility, support data-driven decision-making and optimize production planning. First Mills also migrated its core systems to an in-country private cloud environment, improving scalability, enhancing cybersecurity and reducing long-term operating costs.

Technology Achievements in 2025

During 2025, First Mills achieved significant milestones that strengthened its digital foundation and advanced its transformation agenda.

Successfully implemented a highly secure and resilient IT infrastructure across all locations, maintaining operational continuity and robust protection against evolving cyber threats.



Introduced advanced analytics dashboards and key performance indicators to improve visibility into production performance, support data-driven decision-making, predict market trends and optimize resource allocation.



Deployed RISE with SAP and SAP SuccessFactors to automate manual processes, enhance data reliability and improve efficiency across core business functions.



Migrated core IT systems to an in-country private cloud environment, improving scalability, enhancing security and reducing long-term operating costs.



Technology and Innovation in 2026

Looking ahead to 2026, First Mills will continue advancing its technology and innovation strategy with a focus on scaling digital capabilities and reinforcing its competitive position. The Company plans to expand its use of artificial intelligence and machine learning to improve forecasting, automate repetitive tasks and strengthen operational precision.

It will extend end-to-end supply chain traceability to enhance transparency, visibility and trust across logistics and distribution. Continuous optimization of IT infrastructure will support future growth, and additional automation inside processing plants will improve efficiency, reduce variability and enhance consistency across production lines.

Cybersecurity and Data Privacy

First Mills maintains a firm commitment to safeguarding its digital environment and ensuring the confidentiality, integrity and availability of its information assets. Its cybersecurity vision is centered on enabling a secure and reliable technology foundation that supports operational performance, strategic growth and long-term resilience.

The Company's cybersecurity program is built around four world-class pillars: Cybersecurity Governance, Cybersecurity Defense, Cybersecurity Resilience and Third-Party and Cloud Computing Cybersecurity. These pillars guide all security activities and are fully aligned with requirements issued by the National Cybersecurity Authority, including ECC-2:2024 Essential Cybersecurity Controls, as well as other relevant regulatory and legal obligations. This structured framework enables First Mills to address evolving threats with discipline and clarity.

Throughout the year, First Mills continued strengthening its defenses by advancing policies, controls and monitoring capabilities across its technology landscape. The cybersecurity team remained focused on protecting the organization from emerging risks, elevating compliance maturity and guaranteeing all systems and processes adhere to the highest security standards.

Fostering a strong internal security culture remained a priority. The Company expanded its cybersecurity awareness programs and training initiatives to equip employees with the knowledge needed to recognize threats and respond effectively. This reinforces the principle that security is a shared responsibility across all functions and that vigilance is essential to maintaining trust with customers, partners and Stakeholders.

First Mills adopts advanced tools and technologies to detect, prevent and mitigate cyber threats in real time. Its zero-tolerance stance toward misinformation and disinformation further strengthens the integrity of its digital ecosystem and supports secure, uninterrupted operations.

Looking ahead, First Mills will continue advancing its cybersecurity strategy with a particular focus on enhancing its Business Continuity Management System, including IT disaster recovery capabilities, deepening cyber-awareness and training initiatives and expanding the deployment of robust security controls. The Company will maintain continuous monitoring for vulnerabilities and uphold rapid-response processes to strengthen resilience and maturity in the years ahead.

Cybersecurity and Data Privacy Vision

To enable First Mills to reach a secure and reliable technology environment able to sustain and grow.



CFO's Review

2025 was a year defined by measured expansion, operational strength and disciplined financial execution. Across First Mills, growth was pursued with clear financial intent, supported by robust demand, capacity investments and a continued focus on efficiency.

Alaaeldin Mohamed Shousha
Chief Financial Officer



Financial discipline. Scaled performance. Sustained value creation.

As Chief Financial Officer, I am pleased to report that the Company delivered strong financial performance while maintaining balance sheet resilience, strengthening cash generation and investing to support long-term value creation.

Our financial outcomes reflect a consistent approach. We expanded capacity where demand supported returns, strengthened portfolio mix toward higher-value products and maintained cost discipline across operations. These actions reinforced profitability, enhanced cash flow generation and positioned the Company for continued expansion in strategically important segments.

Financial performance and profitability

First Mills delivered solid financial results in 2025, reflecting both operational momentum and effective cost management. Total revenue for the year reached ₪ 1,146.4 million, an increase of 9.3% year-on-year, supported by volume growth, product mix improvements and expanded market reach across core and adjacent categories. Revenue performance was underpinned by steady demand across flour and feed segments, alongside continued portfolio diversification.

Profitability strengthened in line with operational scale and efficiency gains. EBITDA reached ₪ 402.2 million, up 7.5% year-on-year, with an EBITDA margin of 35.1%, reflecting improved operating leverage and disciplined cost control. Operating profit totaled ₪ 339.7 million, up 6.7%, while net profit attributable to shareholders reached ₪ 277.4 million for the full year, an increase of 10.6%, demonstrating the scalability of the Company's operating model and its ability to convert revenue growth into bottom-line performance. Gross margin stood at 42.1%, supported by stable direct costs, improved extraction efficiency and enhanced operational performance across production facilities.

Margin performance was further supported by portfolio optimization and higher capacity utilization, particularly in core milling operations and specialized product categories. These structural improvements continue to reinforce profitability resilience across market cycles.

Statement of Profit or Loss

₪	2021	2022	2023	2024	2025	YoY %
Revenue	801.0	913.7	964.3	1,048.9	1,146.4	9.3%
Cost of Revenue	(469.5)	(515.7)	(551.1)	(591.8)	(664.2)	12.2%
Gross Profit	331.5	397.9	413.1	457.1	482.2	5.5%
General and administrative expenses	(93.94)	(102.34)	(78.06)	(81.88)	(74.97)	8.4%
Operating (selling and distribution) Expenses	(17.8)	(39.3)	(47.8)	(55.6)	(67.8)	22.1%
Operating Profit	213.3	255.6	287.0	318.5	339.7	6.7%
EBITDA	-	-	-	374.2	402.2	7.5%
Net Profit	198.5	217.5	220.2	250.9	277.4	10.6%

CFO's Review continued

Revenue drivers and operational performance

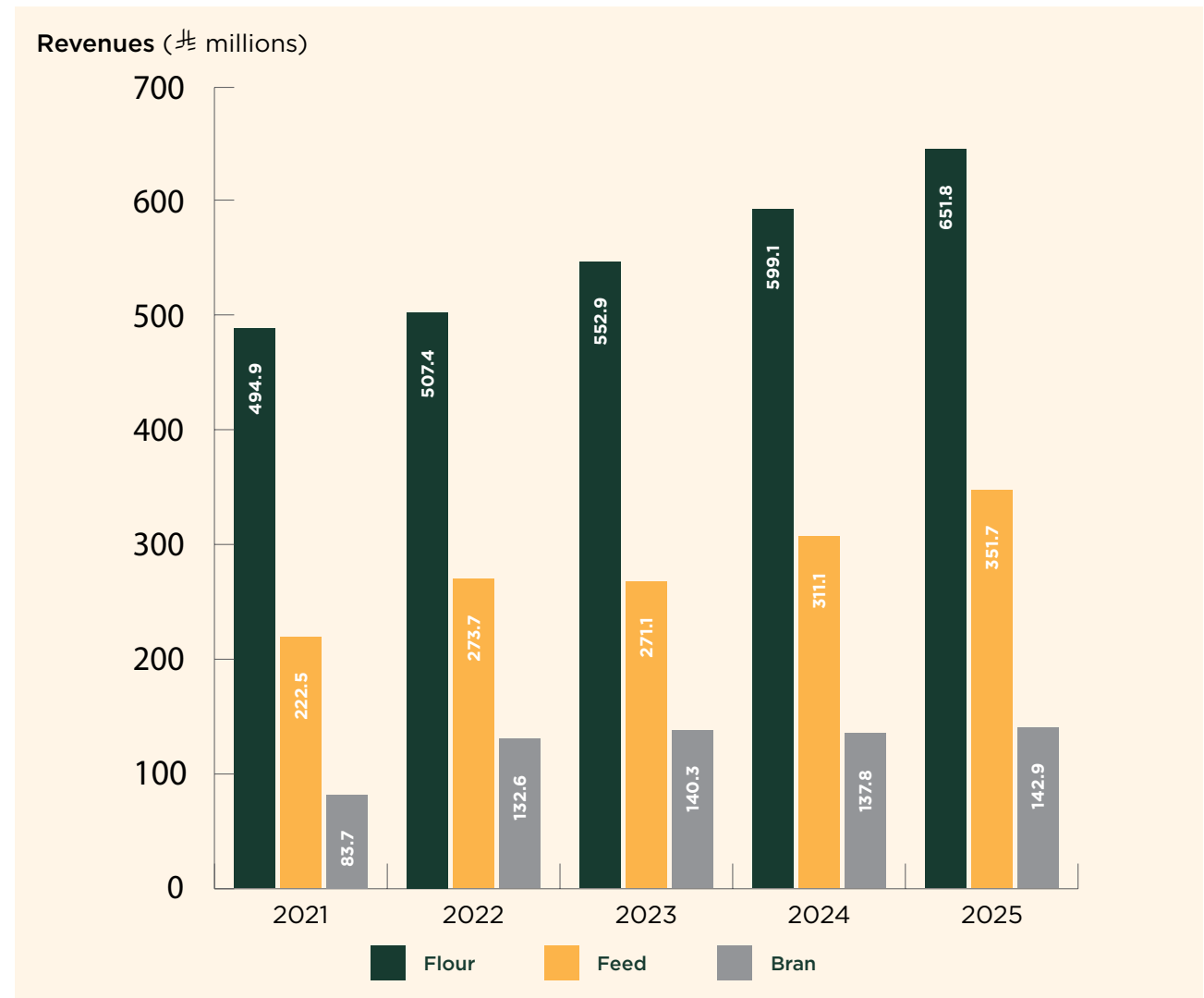
Financial performance in 2025 was supported by strong execution across the Company's operating platform. Growth reflected a combination of increased production volumes, improved product mix and sustained demand across key customer segments.

From a product perspective, diversification continued to strengthen revenue resilience. Flour remained the primary contributor at ₪ 651.8 million (56.9% of revenue), up 8.8% year-on-year, while feed revenues expanded 12.8% to ₪ 351.7 million (30.7% of revenue), reflecting strategic investment in higher-growth segments, including the Al-Manar and AATC acquisitions that scaled the Company's integrated feed platform. Bran revenues rose 3.6% to ₪ 142.9 million. This balanced product mix supports more stable revenue generation and reduces dependence on any single category.

Our 9.3% revenue growth was driven primarily by volume and mix expansion of 9.1%, with pricing

contributing 0.2%. The Flour segment achieved 8.6% volume growth despite a 0.6% pricing headwind, while Durum products delivered an exceptional 57.9% sales growth (+56.1% volume/mix), reinforcing their strategic importance. The Feed segment posted a robust 12.8% growth (+13.0% volume/mix, -0.3% pricing), supported by the Al-Manar and Al-Kenan Al-Arabia Trading Company (AATC) acquisitions. Bran volumes declined 0.4% as we strategically prioritized higher-margin feed production, demonstrating disciplined portfolio optimization.

Revenue expansion was supported by capacity additions, operational efficiency improvements and continued demand for both staple and specialized products. Production utilization remained high across major facilities, enabling the Company to meet market demand while maintaining consistent product quality and cost discipline.



Cash flow and working capital discipline

Strong profitability translated into robust cash generation throughout the year. Operating cash flow reached ₪ 342.1 million, up 11.8% year-on-year, reflecting improved earnings performance and disciplined working capital management. Free cash flow totaled ₪ 257.0 million, supporting continued investment while maintaining financial flexibility.

We maintained a strong and resilient balance sheet throughout 2025. Net debt stood at ₪ 1,247.8 million at year-end, with leverage ratios remaining within targeted levels. Net debt-to-EBITDA, with net debt excluding lease liabilities, improved to 2.1x from 2.2x in FY2024, reflecting prudent capital management and strong earnings performance. Interest coverage strengthened to 4.9x from 3.9x in the prior year, demonstrating the Company's enhanced capacity to comfortably service financing obligations.

Working capital remained tightly managed across inventory, receivables and payables. Inventory optimization and supply chain coordination supported efficient production planning and reduced holding costs, while disciplined receivables management ensured timely cash collection. These measures strengthened liquidity and supported sustainable funding of growth initiatives.

The year-over-year decline in net working capital from ₪ 43.1 million to negative ₪ 58.6 million reflects our deliberate capital allocation strategy in support of transformational growth initiatives. During 2025, we strategically deployed cash reserves toward the successful completion of two accretive

acquisitions—Al-Manar and AATC—which immediately strengthened our Feed segment platform and expanded our geographic footprint. Concurrently, we advanced construction of Mill C at Al-Qassim, positioning the Company for enhanced operational capacity and market reach. This disciplined reallocation of working capital toward high-return strategic investments, rather than maintaining excess liquidity, demonstrates our commitment to value creation and long-term shareholder returns. Importantly, our robust operating cash flow of ₪ 342.1 million—representing a 11.8% year-over-year increase—provides ample financial flexibility to support ongoing operations while funding our expansion roadmap. We remain confident that these investments will drive sustainable earnings growth and further strengthen our competitive position as Saudi Arabia's leading integrated milling platform.

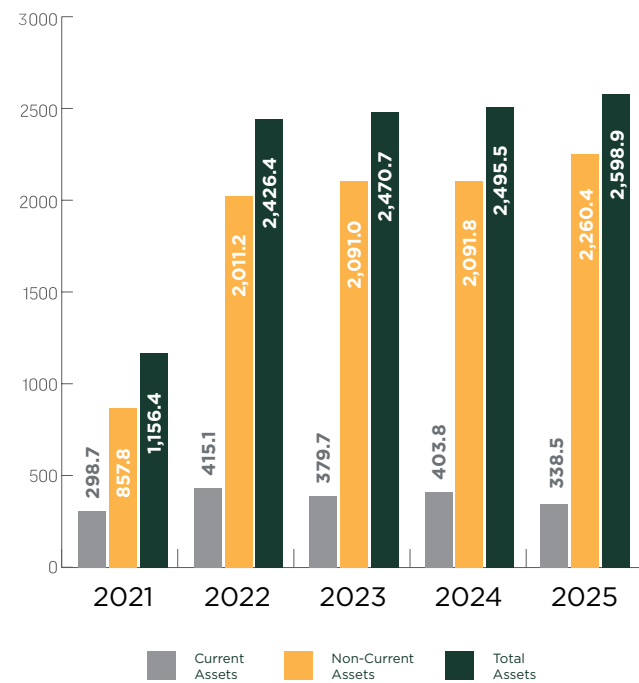
Cash generation remains a central pillar of our financial strategy, enabling continued investment in expansion while preserving balance sheet strength.

To support strategic expansion and capacity development, First Mills maintained access to long-term funding sources, including a ₪ 150 million financing facility from the Saudi Industrial Development Fund. This facility provides stable financing aligned with our growth strategy and reinforces institutional confidence in our long-term prospects.

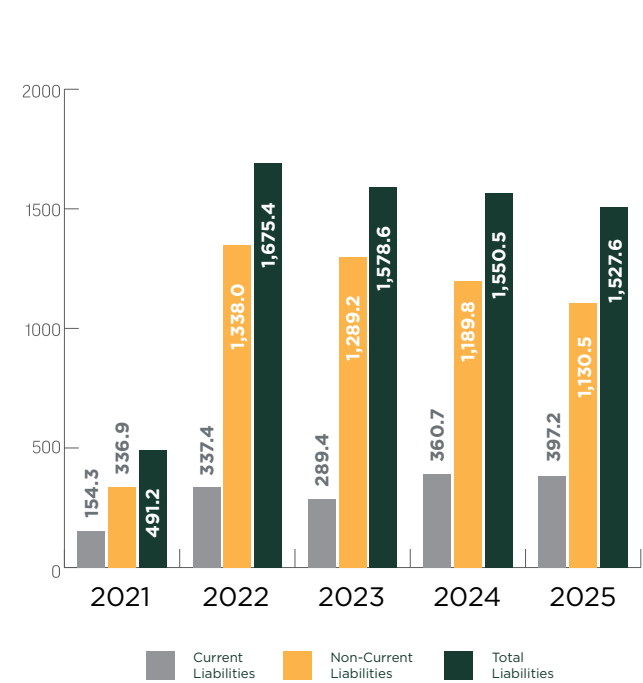
Maintaining financial resilience remains a core priority, ensuring that growth is supported by a strong capital structure and disciplined funding strategy.

Statement of Financial Position

Assets (₪)

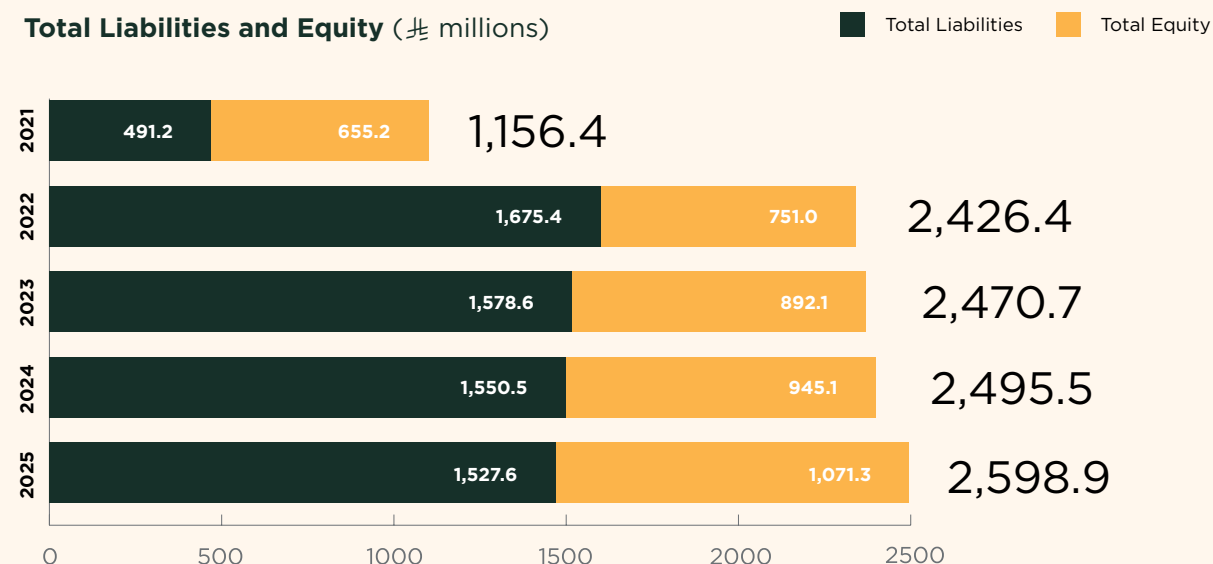


Liabilities (₪)



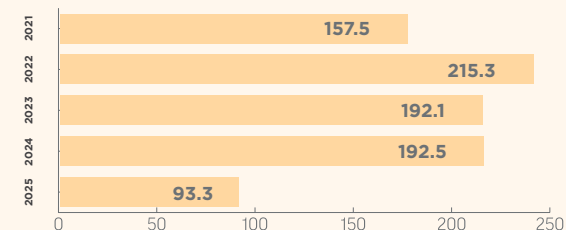
CFO's Review continued

Total Liabilities and Equity (ﷲ millions)

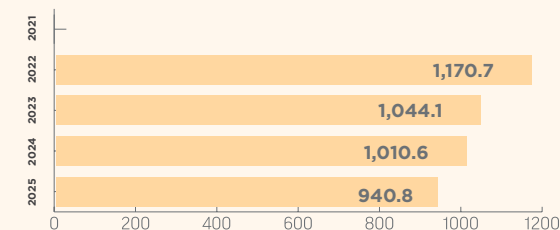


Key Balance Sheet Indicators (ﷲ millions)

Cash and Cash Equivalents



Total Loans



Capital allocation and investment strategy

Capital allocation in 2025 remained focused on projects that enhance long-term productive capacity, improve efficiency and strengthen market positioning. Capital expenditure for the year totaled ﷲ 85.1 million, directed primarily toward capacity, including the ongoing construction of Mill C at Al-Qassim, as well as operational modernization and technology deployment.

Major investments included continued development of Mill C and the strategic acquisitions of Al-Manar Feed Company and a 60% stake in AATC, designed to scale the Company's integrated feed platform. These investments are expected to enhance production capability, strengthen vertical integration and support long-term revenue growth.

Capital deployment decisions continue to be guided by return discipline, with return on equity remaining a key performance metric. ROE for the year stood at 25.9%, reflecting effective allocation of capital toward high-impact initiatives and the scalability of the operating model.

Shareholder returns and dividend policy

Delivering consistent value to Shareholders remains a central objective of the Company's financial strategy. In line with its approved dividend policy, First Mills continued to distribute cash dividends reflecting strong earnings performance and healthy cash flow generation.

Dividend distributions for the year totaled ﷲ 174 million, representing 63% of net profit attributable to shareholders. This approach balances the delivery of Shareholder returns with the need to reinvest in growth opportunities and maintain financial flexibility. First Mills remains committed to sustainable and predictable distributions supported by long-term earnings capacity.

Financial discipline, governance and risk management

Financial performance in 2025 was supported by robust governance, risk management and internal control frameworks. The Company continued to strengthen financial oversight, enhance reporting transparency and improve risk monitoring across operational and financial activities.

Enterprise risk management tools provide visibility across supply chain exposures, market dynamics and operational risks, enabling proactive mitigation and informed decision-making. Internal audit and compliance programs continue to support financial integrity and accountability across the organization.

Maintaining strong financial governance remains essential to preserving Stakeholder confidence and supporting sustainable growth.

Outlook and priorities for 2026

Looking ahead, First Mills enters 2026 with strong financial momentum, a resilient balance sheet and a well-defined investment roadmap. We will continue to prioritize capacity expansion, operational efficiency and portfolio diversification, supported by disciplined capital allocation and prudent financial management. Strategic initiatives over the next three years are expected to further strengthen our competitive positioning and long-term earnings trajectory.

Key financial priorities include sustaining profitability growth, strengthening cash generation, maintaining balance sheet resilience and optimizing returns on invested capital. Continued investment in automation, digitalization and operational optimization will support further efficiency gains, while strategic expansion initiatives are expected to enhance long-term earnings potential.

“
With a strong financial foundation, scalable operating platform and disciplined approach to capital deployment, First Mills is well positioned to deliver sustained financial performance and long-term value creation.

Alaaeldin Mohamed Shousha
Chief Financial Officer

Market Overview

A stable macro backdrop supporting food demand, localization and industrial investment

Saudi Arabia entered 2025 with strengthening macroeconomic momentum, supported by resilient non-oil growth, expanding industrial activity and continued execution of Vision 2030. Moderate inflation, improving trade balances and sustained public and private investment created a supportive environment for essential industries, particularly food production and agricultural processing. Against this backdrop, food security, localization and supply-chain resilience remained national priorities, shaping policy direction and sector dynamics throughout the year.

Saudi Arabia's Macroeconomic Environment in 2025

Economic Growth and Activity

Saudi Arabia recorded solid economic expansion in 2025, with real GDP growing by 4.5% for the year. By year-end, the growth rate reached 4.9% on a year-on-year basis and 1.1% quarter-on-quarter on a seasonally adjusted basis. The oil sector expanded by 10.4% year-on-year, while non-oil GDP grew 4.1%, reflecting continued diversification across manufacturing, logistics, utilities and services. Government activities also recorded a rise of 0.9%.¹

From a production perspective, the strongest contributors included petroleum refining (+11.9%), crude petroleum and natural gas (+7.3%) and electricity, gas and water (+6.4%), highlighting continued industrial momentum and infrastructure demand across the economy.¹

Domestic Demand and Investment

Expenditure-based GDP data pointed to steady domestic demand conditions. Private consumption expenditure increased by 2.7% year-on-year, supported by population growth, urbanization and rising household activity. Gross fixed capital formation decreased 0.7%, reflecting sustained investment in industrial capacity, logistics and infrastructure projects aligned with Vision 2030 priorities.

External demand also strengthened, with exports rising 18.4% year-on-year, significantly outpacing import growth by 4.3%, contributing to a widening trade surplus and reinforcing the Kingdom's external position.¹

Inflation and Cost Environment

Inflation remained contained in 2025, supporting stable consumer purchasing power. As of December, headline inflation stood at 2.0% year-on-year.² Food and beverages inflation remained modest in the second half of the year, with the Food and Beverages Consumer Price Index rising 1.1% year-on-year in December 2025, following 1.1% year-on-year in September.³

Price pressures remained concentrated in essential categories, with housing and utilities increasing 0.3%

and personal care and miscellaneous services up 1.7%, while transport, education and entertainment prices stayed broadly stable, supporting continued demand for staple food products.⁴

Trade and Industrial Indicators

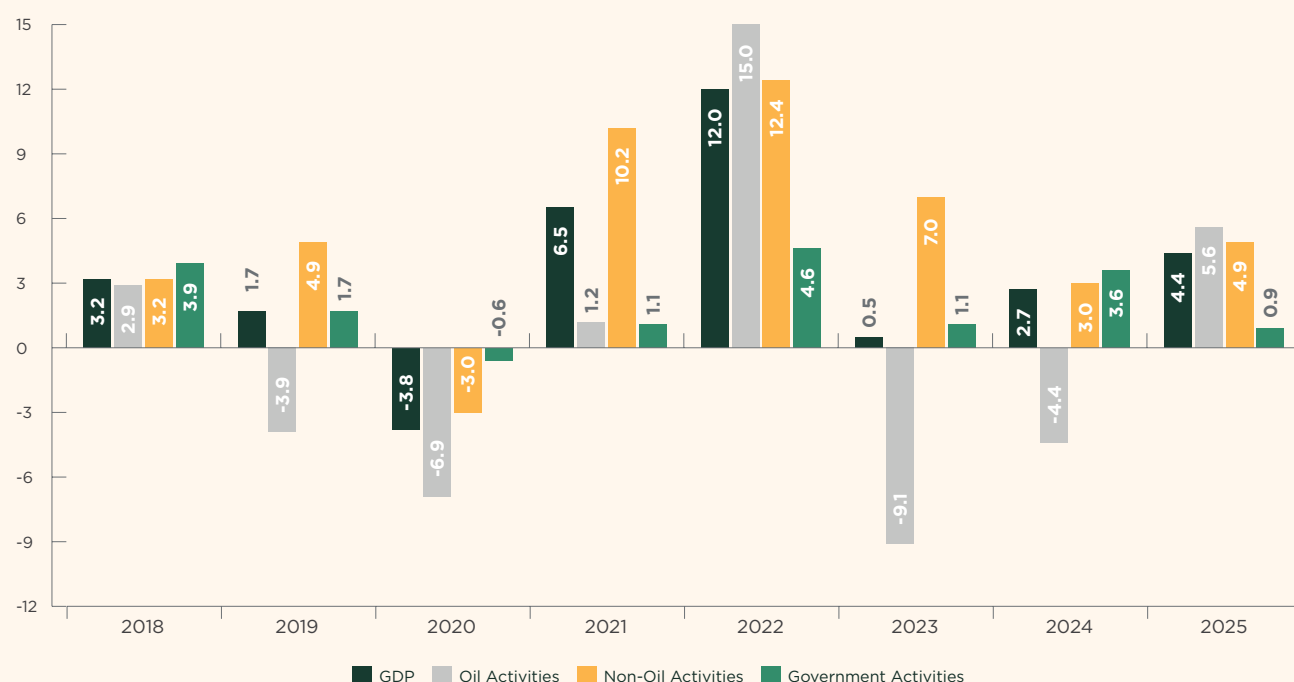
Saudi Arabia's trade performance strengthened during 2025. Total exports rose 10% year-on-year, driven by non-oil exports (+20.7%), re-exports (+53.1%) and oil exports (+5.4%). Imports declined by 0.2%, resulting in a 70.2% expansion in the trade surplus. China remained the Kingdom's largest trading partner for both imports and exports.⁵

Industrial momentum was reflected in the Industrial Production Index, which increased 9.3% year-on-year and 1.9% month-on-month, supported by higher mining and quarrying activity and continued expansion across manufacturing segments.⁶

Consumer Demand and Consumption Trends

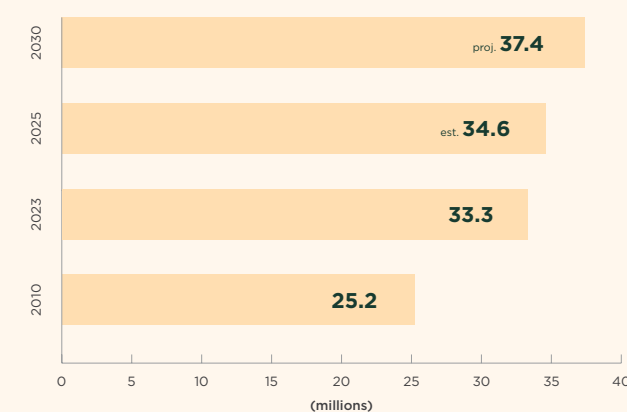
Consumer preferences in 2025 continued shifting toward health-oriented and functional food products. Demand increased for whole wheat, gluten-free and clean-label flour variants, reflecting heightened health awareness and changing dietary habits. These trends were reinforced by steady population growth and urbanization.⁷

Annual Real GDP Growth Rates (%)



Economic growth in 2025 reflected balanced momentum, with non-oil sectors playing an increasingly significant role alongside oil.¹

Population Growth of the Kingdom⁷



Saudi Arabia's population expanded from 25.2 million in 2010 to 33.3 million in 2023 and was estimated at approximately 34.6 million in 2025, with projections indicating continued growth to around 37.4 million by 2030.⁸ Sustained demographic expansion, combined with over 85% urbanization,⁹ supported continued growth in packaged foods, bakery products and ready-to-eat categories.

Household spending patterns underline the structural importance of food consumption. Food and beverages accounted for 18.8% of average household consumption expenditure in 2018 and increased to 27.9% of final monetary consumption expenditure in 2023 at the national level. Although the surveys apply different expenditure concepts, the directional increase highlights a rising share of household budgets allocated to food, reinforcing demand resilience for staple categories.³

Digital commerce and social platforms increasingly influenced purchasing behavior, reinforcing the importance of convenience, transparency and product differentiation across food categories. Saudi Arabia is an almost fully connected, mobile-first market: internet penetration stands at 99%, with 99.4% of users accessing via smartphones. E-commerce is both broad and local, with 74% of users shopping online and food and groceries purchased by 31.5% of online shoppers. The ecosystem is deepening, with Saudi domain names up 25% year-on-year and 21.5% of users already experimenting with AI tools, supporting the continued expansion of digital distribution and direct-to-consumer channels.¹⁰

Market Overview continued

Growth Drivers Shaping Flour and Commodities Demand in Saudi Arabia



Global and Regional Cost Pressures

Global grain markets continued to stabilize in 2025 as supply conditions improved and price pressures eased. The Global Food Price Index averaged 127.2 in 2025, 4.3% higher than its average in 2024 and about 21% below its March 2022 peak, whereas world cereal trade is projected at around 499.5 million tons in 2025/26, supported by a stocks-to-use ratio of approximately 31.1%, the highest since 2017/18.

International wheat prices remained in the mid USD 200s per ton through 2025, reflecting normalization

from 2022-2023 highs. In Saudi Arabia, downstream demand remained resilient, with the animal feed market estimated at roughly USD 6.86 billion in 2025 and expected to grow at mid-single-digit rates over the long term, supporting sustained feed and milling demand.¹¹

At the same time, logistics disruptions in the Red Sea and Suez corridor continued to elevate freight risk and insurance costs, reinforcing the strategic importance of local capacity, inventory management and supply-chain resilience across the Middle East.

Saudi Food, Flour and Commodities Sector

Policy Environment and Food Security Priorities

Food security and localization remained central policy pillars in 2025. Saudi Arabia continued advancing Vision 2030 initiatives aimed at strengthening domestic food production and reducing import dependency. The Ministry of Environment, Water and Agriculture targets include domesticating 85% of the food sector by 2030, with an objective of reducing annual food import costs by **± 70 billion**.¹²

Saudi Arabia has repositioned domestic wheat within its food security strategy by reintroducing

local production under a quota system for small irrigated farms, with the General Food Security Authority (GFSA) purchasing up to 1.5 MMT annually at administered prices while maintaining strategic reserves covering more than six months of consumption. Parallel policies to phase out water-intensive forage crops and gradually transfer wheat import and stock-management responsibilities from GFSA to SALIC and, over time, to private flour mills, which is intended to secure long-term wheat availability, reduce supply risk and support the growth ambitions of millers such as First Mills.¹³

Flour Market Outlook

The Saudi flour market continued its steady expansion in 2025, supported by population growth, urbanization and sustained bakery and food service demand. It is expected to grow to USD 3.03 billion by 2033. Total flour volume was estimated at 4.1 million tons in 2025, with projections indicating growth to 4.2 million tons in 2026 and 4.4 million tons by 2027.

This trajectory implies approximately 5.0% year-on-year growth from 2025 to 2026, followed by around 4.0% growth from 2026 to 2027, representing cumulative growth of about 9.2% over the period. Regulated flour pricing remained broadly stable; competition increasingly centered on operational efficiency, capacity expansion, product differentiation and distribution reach.¹⁴

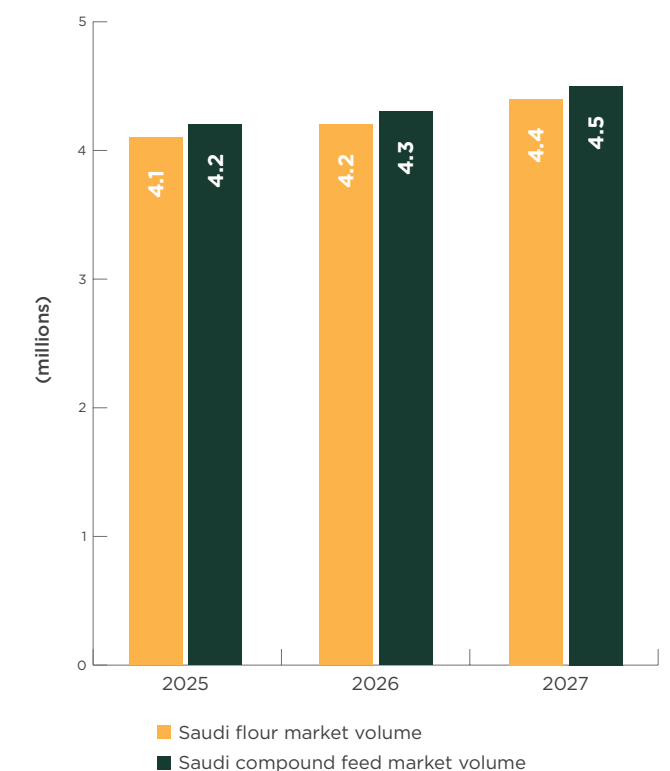
Compound Feed Market Dynamics

The Saudi compound feed market continued to expand in 2025, supported by rising animal protein consumption and the ongoing modernization of livestock production. Market volume reached approximately 4.2 million tons in 2025 and is forecast to increase to about 4.3 million tons in 2026 and 4.5 million tons in 2027, implying cumulative growth of roughly 8.6% over the period. This trajectory reflects year-on-year growth of around 3.8% from 2025 to 2026 and 4.6% from 2026 to 2027, driven by expanding poultry, dairy and meat production, improved feed formulations and continued government support linked to food security objectives.

At the regional level, the GCC compound feed market was valued at USD 14.2 billion in 2025 and is projected to grow from USD 14.9 billion in 2026 to USD 19.3 billion by 2031, representing a CAGR of 5.2%. Saudi Arabia accounted for 56.5% of the GCC market in 2025, reflecting its scale advantage, in which poultry represented

the largest animal segment at 45.6% of market share. Cereals remained the dominant ingredient category at 53.4% of market size, and pellets accounted for 60.4% of revenues, though extruded feeds are expected to record the fastest growth through 2031. Regional demand continues to be underpinned by Vision 2030 food security programs, livestock expansion and investments in higher-value nutrition, with competitive dynamics favoring vertically integrated producers amid ongoing modernization of milling and storage infrastructure.¹⁵

Saudi Flour and Compound Feed Market Growth (2025-2027)



Sources

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- General Authority for Statistics (GASTAT), International Trade in Goods - October 2025.
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Risk Management

First Mills continues to advance the maturity of its Enterprise Risk Management (ERM) framework by integrating a proactive and disciplined approach into every part of the business.

The Company recognizes that strong risk management is essential to protecting performance, strengthening resilience and enabling the strategic choices that drive long-term progress. By systematically identifying, assessing and mitigating risks, First Mills creates the clarity and confidence needed to operate in a dynamic market environment, support its growth priorities and reinforce its commitment to safeguarding the Kingdom's food security system.

Enterprise Risk Management Framework

First Mills has developed and implemented a comprehensive ERM Framework aligned with the COSO ERM principles. This framework provides a structured and integrated approach to identifying, assessing, managing and monitoring risks across all business functions to support the achievement of strategic objectives.

It emphasizes governance, accountability and risk ownership at all organizational levels, supported by clear policies, defined risk appetite and systematic reporting mechanisms. The framework also integrates risk management into strategic planning, operational processes and performance management, ensuring risk-informed decisions enhance resilience, optimize resource allocation and safeguard Stakeholder value.

Risk Management Governance

The Audit Committee plays a central oversight role in maintaining the effectiveness, adequacy and continuous improvement of the Company's overall risk management system, including the review of principal risks, mitigation strategies and the alignment of risk management practices with the Company's strategic objectives. In addition, the Governance, Risk and Compliance (GRC) Department plays a key role in providing comprehensive monitoring and supervision of the risk management framework across the organization.

The GRC Department has established the necessary frameworks, policies and risk information systems and regularly organizes periodic workshops and meetings with C-level executives and risk champions

from business units to review the risk process, assess emerging risks and make sure that the risk management practices remain effective and aligned with the Company's strategic goals.

The Company's governance structure reflects a clear division of responsibility, where the Board and Audit Committee provide oversight, the CEO and executive management implement and manage risks and the GRC function enables consistency, monitoring and continuous improvement of the risk management process.

Risk Identification

The Risk Identification process at First Mills is built on a structured and objective-driven approach that ensures comprehensive coverage of all business activities and controls. Risks are identified in alignment with the Company's strategic objectives, as well as its corporate-level policies and unit-level procedures, to make certain both enterprise-wide and operational risks are effectively captured. This process follows a systematic methodology beginning with the assessment of inherent risks, followed by an evaluation of the existing controls, leading to the determination of the residual risks that remain. This layered approach provides a realistic and practical understanding of the organization's risk exposure, enabling management to prioritize areas requiring attention. By clearly distinguishing between inherent, controlled and residual risks, First Mills confirms that the Risk Response Plans are more specific, targeted and effective in mitigating threats and capitalizing on opportunities aligned with the Company's goals and strategies.

Risk Response

The Risk Response Plan at First Mills is developed by the risk owner under the supervision of the Unit Head and the monitoring of the GRC Department to retain alignment with the Company's overall risk management framework. Each plan outlines specific actions to mitigate, transfer, accept or avoid identified risks, ensuring responses are both practical and proportionate to the level of exposure. Risk response plans related to major or strategic risks are escalated to the executive management for review, support and formal approval.

The GRC Department conducts monthly follow-ups to monitor the progress of implementation and verify that response deadlines are met. In cases of delays, the GRC Department requests formal justification from the risk owners and evaluates the adequacy of the revised timelines. Furthermore, the GRC Department makes sure all risk responses are efficient and effective – both in achieving their intended risk reduction objectives and in maintaining cost-effectiveness to support the Company's strategic goals and operational performance.

Risk Management in 2025

This initiative is centered on the implementation of a comprehensive risk register within every operational and support unit, assigning ownership to dedicated risk champions.

For the successful adoption and embedding of best practices, we have conducted multiple targeted workshops for both C-Level Executives (focusing on governance and strategic alignment) and the appointed risk champions (focusing on process execution and register maintenance).

We achieved significant milestones in enhancing the organization's ERM framework.



Risk register implementation and ownership:

We successfully implemented a risk register across every organizational unit. This initiative established clear accountability by mandating that each unit's register be owned and maintained by a designated risk champion. A comprehensive update of the risk register for all units was successfully completed during 2025, which effectively captures current and emerging risks.



Enhanced risk management process:

To ensure effective adoption and integration, multiple targeted workshops were conducted for both C-Level Executives and risk champions. These sessions focused on elevating understanding and performance regarding the new risk management processes.



Framework and methodology development:

We developed a robust, updated Risk Management Framework and introduced a new risk register template. This framework and template incorporate clear methodology aligned with best practices to standardize risk identification, assessment and response across the entity.

Risk Management continued

Risk Response

The Principal Risks Report is prepared quarterly by the GRC Department through a comprehensive analysis of the major risks identified and reported by all departments across the organization. This report consolidates critical information on each key risk, including its description, impact assessment, risk response plan, implementation deadlines and the responsible parties.

The GRC Department continuously monitors the progress of these risk responses throughout the quarter to ensure timely execution and effectiveness. In each reporting cycle, newly identified or emerging risks are also evaluated and incorporated into the upcoming Principal Risks Report to maintain a current and dynamic risk profile. The finalized report is then presented to the executive management, providing them with a clear view of the Company’s principal risk exposures, mitigation progress and areas requiring strategic attention or management support.

Economic and Financial Risks

Mitigation Measures	
Interest rates	Interest rate risk is periodically assessed by a specialized team that analyzes the local and international economy, raw material markets for products and their correlation with interest rates; the team subsequently takes necessary actions to address any potential risks.
Currency exchange rate volatility	Currency exchange rate volatility may affect the Company's obligations owing to conducting some transactions in currencies other than the Saudi Riyal. However, First Mills continuously studies the global exchange rate market and understands the fluctuations in the currencies it deals with, in order to mitigate these risks to their lowest levels.
Credit risks	The Customer Credit Risk Management Department establishes credit limits for each customer and monitors outstanding accounts receivable. The management considers factors that may affect credit risk related to its customer base, including default risks associated with the business activities of its customers. Given the nature of First Mills’ business, a significant portion of revenue is from cash sales; therefore, the Company is not materially exposed to credit risks.
Liquidity deficit and expansion of borrowing	The Company has strong cash liquidity, which helps it face future challenges should it need to inject liquidity. It also benefits from a robust financial position that can mitigate liquidity deficit risks.

Operational Risks

Mitigation Measures	
Increased costs and operating expenses	Periodically reviewing costs and making certain they are appropriately controlled to achieve optimal results
Occupational safety incidents	Committing to local and international safety and health laws, employing highly competent employees and providing continuous training
Technical and technological failures	Relying on advanced systems and developing contingency plans for addressing any potential failures
Poor storage and inventory mismanagement	Managing inventory based on experience and demand forecasts
Production defects	Utilization of best-in-class machinery and equipment and conducting all necessary tests to minimize production defects
Supply chain disruptions and raw material price volatility	Hedging against price fluctuations, maintaining strategic relationships with suppliers and monitoring inventory levels to avoid being affected by any disruptions

Regulatory Risks

Mitigation Measures	
Government subsidies	Purchasing wheat from GFSA, at subsidized prices and under more favorable terms. The Company seeks to expand its portfolio of unsubsidized products to reduce future changes that may impact subsidies.
Regulatory compliance	The Company adheres to numerous regulatory requirements, including those specific to GFSA and the Ministry of Commerce, among other regulatory authorities.
License scope	Renewal of permits and licenses through specialized teams to reduce the risk of license suspension.
Taxes and fees	The Company is subject to zakat and value-added tax (VAT), while considering any government decisions related to taxes and fees preemptively.
Laws and regulations	Compliance with all applicable laws and regulations in Saudi Arabia, with a specialized team in place to monitor new legislation.
Saudization and foreign labor requirements	Commitment to Saudization employment ratios and enhancing training for young Saudi nationals to mitigate risks associated with workforce Saudization.

Risk Management continued

Market Risks

Mitigation Measures	
Competitive environment	First Mills may face increased competition in the local market from domestic and international food and feed companies. However, the Company regularly monitors the market, prices and promotions to enhance its competitive edge, understand challenges and opportunities and adopt strategies to strengthen its brand and continuously improve product quality.
Concentration of Company's revenues in specific geographic regions	The Company studies expansion opportunities and increases penetration in accordance with regulations, through product development and enhanced market share, to reduce geographical revenue concentration.
Changing consumption patterns	First Mills updates production and marketing strategies in line with developments in the food and feed sector to meet consumer expectations to deliver the best quality.
Uncontrollable market conditions	The Company may be affected by prevailing global political and economic conditions, which may lead to increased inflation rates and commodity costs. In this respect, First Mills continuously monitors market variables and assesses their impact on customers and suppliers. To address these risks, the Company employs effective strategies that include improving production, developing storage technologies and flexibly adapting to raw material market fluctuations.
Natural disasters and climate change	The Company continuously develops contingency plans to address natural disasters and climate changes, including rainy seasons that may affect the feed product, with the aim of mitigating potential damages.
Eruption of viruses and infectious diseases	First Mills is committed to developing pandemic preparedness plans, drawing upon the effective procedures implemented by the Kingdom to control viral outbreaks, as was the case in the COVID-19 pandemic.
Cybersecurity	A cybersecurity incident may lead to confidential and sensitive data leaks and disrupt the business continuity and operations, which may eventually result in harming the Company's reputation. First Mills addresses these risks through the following: • Executive management closely monitors the effectiveness of the Company's cybersecurity system. • The Company continuously relies on advanced technologies to identify and mitigate all security threats. • First Mills implements systems to enhance the technical infrastructure to ensure resilience and readiness. • The Company adopts effective business continuity plans to reduce disruptions in the event of a technical failure.

Cybersecurity Audit and Improvement Plan

First Mills conducted a comprehensive cybersecurity audit to assess the effectiveness of its information security controls, data protection measures and overall resilience against cyber threats. The audit was designed to guarantee full compliance with Saudi National Cybersecurity Authority (NCA) regulations and alignment with international cybersecurity standards and best practices.

Based on the assessment, a detailed Cybersecurity Improvement Action Plan has been launched, with clear responsibilities, timelines and monitoring mechanisms to enhance access management, network security, incident response readiness and employee awareness and to safeguard the Company's digital assets.

